Project 2 Week 8 Report

Victoria Lee

UMGC: University of Maryland Global Campus

BMGT 380: Business Law I

Primary Instructor Tara Estwick

8/1/2024

TO: Winnie James, Ralph Anders

FROM: Victoria Lee

RE: Clean Risks and Liabilities

DATE: 8/1/2024

Introduction:

Over the past few weeks, TLG discussed a variety of laws with Viral Clean ("Clean"). The owners of Viral Clean (Conner, Denise, Larisa, and Sam) are responsible for different duties and roles of the business and each aspect for everyone has a legal implication. This report discusses the law for each component central to the four scenarios and explains the relevant area of the law. It will also provide the purpose of understanding the area of the law that helps Clean. Lastly, it will implicate Clean's rights and liabilities in the area of the law and make specific recommendations for how Clean can minimize its liabilities. To follow these criteria, a report is made below to recommend appropriate actions in the business environment based on the sources of law, contractual rights, and tort rights. It will include the obligations, liabilities, and remedies for each concept and aspect. The solutions indicate that to minimize liabilities, Clean must provide actions based on contract, product liability, sales contract, consumer protection, employer contract, insurance, UCC, agency contract, compliances, and Occupational Safety and Health Act (OSH Act). When Clean takes action based on these laws, it may allow Clean to prevent possible liabilities. Forming secure and clear agreements ensures that Clean can continue to grow as a business and prevent liabilities.

A. Connor

1. Identify the component that is central to each of the four scenarios and explain the relevant area of the law.

Conner is responsible for purchasing personal protective equipment PPE and cleaning supplies from EPI. This means that the manufacturing facility is overseen and controlled by Conner. Since Connor controls the purchasing and reselling of the EPI cleaning supplies, Contract Law or Sales and Product Liability Law are relevant to this scenario. Both laws will help Connor comprehend Clean's rights and liabilities as a purchaser from EPI and as a reseller to customers. Contract Law governs the agreements between two or more parties that create mutual legal obligations (Saylor Foundation, 2012, Chapter 8). It ensures that each party fulfills their contractual obligations and provides remedies when a breach of contract occurs. For this case, Conner's interactions with EPI are governed by contractual principles based on the contract sales law. Conner must comprehend the sales contract formation, terms, performance, and remedies for Clean are crucial. Conner's rights stem from the contract with EPI. The seller's main goal is to deliver the goods in pristine condition while meeting the standards of the agreed contract. The buyer's main goal is to confirm that the product was delivered on time and inspect the product if the product fails to meet conformity (Saylor Foundation, 2012, Chapter 10). He has the right to receive goods that meet the contract specifications. If EPI fails to deliver the correct product, Clean can seek remedies under contract law. Moreover, since Connor is in charge of the supplies, Connor or Sam must inspect the product and prevent any defects to prevent

liabilities, such as product liabilities. Product liability describes a type of claim—for injury caused by a defective product—which is the warranty, negligence, or strict liability (Saylor Foundation, 2012, Chapter 17). These laws ensure that products meet safety standards and are free from defects. Clean's liability as a reseller depends on the quality and safety of the products purchased from EPI. Product defects, misrepresentations, or failure to meet specifications could expose Clean to legal risks. Complying with product safety regulations helps prevent lawsuits and protects consumers. Proper labeling, quality control, and adherence to safety standards are essential. Therefore, Connor's goal is to comprehend Clean's rights, liabilities as a purchaser from EPI, and the laws of the contract and product liability.

2. As a general matter, explain why understanding the area of the law helps Clean.

Connor and Clean must comprehend these laws to comply with contract terms, ensure smooth transactions, and proper delivery, and ensure that the product is what was agreed on. When applying the scenario to the UCC, the sales contract is governed under UCC Article 2, regarding the sale of goods (Uniform Law Commission, n.d.). This is essential for understanding the position of the seller-buyer relationship, where Clean is the seller and the customer is the buyer. Implementing proper contracts will help Clean control and monitor the actions to safely distribute, inspect, provide, and test the product and give remedies if necessary. Comprehending this concept is essential to prevent any liabilities or breaches if Clean does not deliver the product on time, or the buyer rejects the goods. In addition, awareness of product liability laws helps Clean avoid selling

defective or unsafe products. This will prevent Clean from having any possible liabilities related to breaching its duties as the seller. Under §2-201 of Formal Requirements; Statute of Frauds is that contracts for the sale of goods in an amount greater than 500 dollars must be evidenced by some writing, signed by the party or accepted to be charged, and must be able to sufficiently identify the parties involved to be enforceable (§ 2-201 (1)-(3)(a)-(c) UCC, n.d.). This will help Celan ensure that each party has signed an agreement to continue with the seller-buyer relationship. This means that Clean would be the seller and the customer would b be the buyer. Clean must deliver the conforming goods with the correct product that was signed for in the agreement. Moreover, if the product is defective, the UCC Article 2, regarding the sale of goods, implies that Clean must provide a "cure" based on several factors, such as the condition of the goods before delivery and what is considered "reasonable time" in the contract. These are all the laws that are relevant for Connor. Therefore, comprehending contract law is essential to know what was agreed upon and how Clean can implement better safety measures when delivering the goods to the seller.

3. Identify Clean's rights and liabilities in the area of the law and make specific recommendations of how Clean can minimize its liabilities.

Clean has the right to receive conforming products from EPI (as specified in the contract). Conner can be held liable for injuries caused by defective products regarding product liability. The negligence theory states that the plaintiff must prove fault through all four elements the defendant had a duty of care, the care was breached, the breach resulted in and connected to the plaintiff's injury, and the

plaintiff suffered actual damage or loss (Andrino, 2023, Week 3). As for strict liability, it states that the plaintiff does not need to prove fault, but the injuries occurred as a result of using the defective product including meeting the required standards (Andrino, 2023, Week 3). Product liability arises when a product fails to result in a defective product or injury done to a person (Saylor Foundation, 2023, Chapter 17). If Clean sells the product, it may breach the product liability if it is a defective design, and harmful to other citizens who utilize it. Conner has the right to create and sell safe products and seek legal remedies if suppliers provide faulty materials. Connor may reach out to Sam to solve this solution to prevent the items from falling into this category. Regarding the Contract Law, Conner can be liable to Clean's customers if the product he resells does not meet the contract specifications. Some of the liabilities that Clean may have been delivering incorrect, defective, poor inspection, and injuries. When both parties agree and the amount is less than 500 dollars, it will be enforced and there does not need to be a written agreement (Saylor Foundation, 2012, Chapter 13). Once an agreement is valid and enforced, Clean and the customer will be in a seller-buyer relationship. If EPI delivers incorrect or defective products, Clean may face customer complaints, shipping delays, or financial losses. Clean's liability regarding the products to customers depends on its representations and warranties about the products. Complying with product safety regulations helps prevent lawsuits and protects consumers. Proper labeling, quality control, and adherence to safety standards are essential. As for preventing individuals from filing a liability that the goods were not delivered on time, Connor must implement proper contract agreements so that

the items are delivered on time. Under § 2-301 of General Obligations of Parties, the seller must deliver the products to the buyer and the buyer must accept through payment following the contract (§ 2-301 UCC, n.d.). Under § 2-504 of Shipment by Seller, implies the seller must deliver the goods to the right location, handle the goods, and notify the buyer of the goods that the shipment is arriving (§ 2-504 (a)-(c) UCC, n.d.). If Clean has issues regarding proper delivery from the agreement of the parties to the UCC, the sales contract is governed under UCC Article 2, regarding the sale of goods (Uniform Law Commission, n.d.). Under § 2-509 of Risk of Loss in the absence of a breach, the risk of loss passes to the buyer on the buyer's receipt of the goods if the seller is a merchant (§ 2-509 (1)(a)-(b), (2)(a)-(c), (3), (4) UCC, n.d.). Connor can utilize this to avoid faulty defects if the buyer forgets to inspect the item within a specific period. When Clean sends the disinfectants to someone and the contract does not specify a particular destination, the risk of loss is under the buyer instead of the seller (Saylor Foundation, 2012, Chapters 8 and 9). Clean might not be required to replace the goods if the risk has shifted. In addition, if the buyer accepted the products and failed to inspect them earlier, the buyer cannot claim that the products were faulty due to the acceptance of the contract. Through the UCC, the buyer must inform the seller about the defect of the products after delivery (Saylor Foundation, 2012, Chapter 10). The UCC code notes that a buyer who refuses or fails to inspect the product during the completion of the transaction has waived the right to seek any legal redress in case they are not satisfied with the product (Saylor Foundation, 2012, Chapters 8 to 10). Moreover, if it is regarding the goods that Connor notices that the buyer rejects or

is defective, Clean must provide remedies to prevent breaches with the agreed sales. Under § 2-508 of Cure by Seller of Improper Tender or Delivery; Replacement, implies that for any delivery items rejected from the buyer due to non-conformity, the seller must notify the buyer of the intent of cure within the contract time that has not yet expired, or provide a substitute item (§ 2-508 (1), (2) UCC, n.d.). Connor must ensure that Clean delivers the product on time, allowing the buyer to reject the goods if it is nonconforming, and "cure" the goods to prevent breaching them if the buyer deems that the product is nonconforming. To minimize and mitigate these liabilities, Clean should clearly define product specifications in contracts with EPI, implement quality control measures to avoid reselling defective items, and maintain accurate records of transactions. Regularly review safety protocols and quality control processes. Obtain product liability insurance. Consult legal experts to ensure compliance. Regularly review contracts with suppliers and ensure clear terms regarding product quality and delivery. Clean or Connor (who is in charge of these products) must build a better foundation of warnings and instruction labels on the product, cross-train employees about handling these products to prevent misuse of harm, implement quality control to prevent a defective product from reaching consumers, and document records (Saylor Foundation, 2012, Chapter 17). Clean should ensure EPI products have warnings about potential risks displayed on the packaging. Clean should also cross-train employees about the safe handling, storage, and usage of EPI products. Clean can do this by placing labels with the risks associated with the EPI products to customers. All of these steps will allow Clean to have reduced liability if the

customers are aware of the hazards, and risks associated with this product, and the procedures to prevent product liabilities and breaching contract laws. Moreover, Clean should also include accurate product labels of information such as risks and a traceable supply chain to demonstrate safety standards. Therefore, these are the recommendations for Clean to reduce its liabilities and breaches under these laws, but Clean should consult with a legal expert if other laws may also lower the liability against Clean.

B. Denise

1. Identify the component that is central to each of the four scenarios and explain the relevant area of the law.

Denise's responsibility involves creating a workers' handbook covering job-related injuries for both employees and independent contractors. This means that the marketing department is led by Denise. Some of the relevant laws involved in this are the workers' compensation law, tort law such as negligence, and consumer protection law. Workers' Compensation can help Clean comprehend workers' rights, reporting procedures, and compensation for workplace injuries. It would also explain how different rules apply to employees and independent contractors. Employee contracts are usually under the direct control of Clean, such as control over the agents' work hours, and managing tasks (Saylor Foundation, 2012, Chapter 20). Despite the amount of control that Clean has, employee contracts are more costly for salaries, payroll taxes, benefits, and worker's compensation for any injuries during the job. An employee contract would have a better long-term

relationship for Clean which could improve other aspects of the business structure if Clean implemented cross-training and a long-term employee. Meanwhile, independent contractors are people in a contract with an employer to perform services and are not controlled by the employer's right to control (Saylor Foundation, 2012, Chapter 20). Independent contracts usually have more flexibility such as when tasks are performed, Clean would not have direct control over the person's work, and costs would be much cheaper with no payroll taxes and benefits may not be applicable. If an individual is injured during the job, the person may not be eligible for workers' compensation which could increase the chance of filing a liability against Clean that may damage the business. Meanwhile, a tort law regarding negligence can prevent Clean's potential liability for injuries to workers or customers due to negligence (faults or illegal actions). To be considered as a negligence tort law it must fulfill the duty of care, breach, causation, and damages are key concepts. With the Workers' compensation law, implementing consumer protection laws blends well together and addresses customer safety and liability. These are all the laws that are the most relevant for Denise. Therefore, Denise's handbook covers job-related injuries, workers' compensation, types of contracts, and protection laws for both employees and employers to prevent possible liabilities.

2. As a general matter, explain why understanding the area of the law helps Clean.

Clean must comprehend these laws so that they will ensure protection against the employees and other possible liabilities. Compliance with workers' compensation laws reduces legal risks. Adapting the negligence tort law and

employer contract ensures proper risk management, minimizes liability, and ensures employee safety. If any employee or agent fails to comply and complete the tasks, Clean has the right to end the contract to prevent possible liabilities against Clean due to illegal or improper actions (Saylor Foundation, 2012, Chapter 21). Employment law will help Clean comprehend the rights and duties in an employer-employee relationship. Denise will include the statutes about anti-discrimination, wage, health, and safety. These are crucial for Clean to comprehend as it will ensure that all the employees have certain rights when it comes to mitigating this type of liability. Moreover, regarding the workers' compensation and consumer protection laws, Denise could implement procedures for reporting workplace injuries, employee rights and responsibilities, customer safety guidelines, and emergency protocols within the handbook. An agency is between two parties in a legal contract, where the agent acts on behalf of and under the control of a principal (Müller-Freienfels, n.d.). As previously mentioned, an employee contract would have the benefits of workers' compensation, but an independent contract may not have those benefits (Saylor Foundation, 2012, Chapter 20). Denise should imply both pros and cons to each of the contracts so that Clean can make sure that if any injuries were to happen, Clean can evaluate if the benefits or compensation are necessary. Denise may also include the Occupational Safety and Health (OSH), which sets the standards for workplace safety and ensures proper welfare and a healthy work environment for the employees (U.S. Department of Labor, 2004). Denise may ask Sam to assist here with implementing a more in-depth detail of the OSH. In addition, if Denise

implements all of these concepts in the handbook, it ensures that Clean would minimize these liabilities and ensure proper handling of injuries based on the type of contract and consumer protection. Denise should make sure that when implementing the handbook, it discusses all the relevant details of each and how it will benefit Clean in the long run from potential liabilities. Therefore, comprehending and implementing the actions to handle injuries, workers' compensation law, tort law such as negligence, and consumer protection law are crucial to prevent possible liabilities.

3. Identify Clean's rights and liabilities in the area of the law and make specific recommendations of how Clean can minimize its liabilities.

Clean has the right to establish clear procedures for reporting injuries and managing risks relating to the workers' compensation and negligence. Failure to provide a safe work environment could lead to legal claims. Clean may be liable for negligence if it breaches its duty of care. For product liability through negligence, the plaintiff must prove fault. To be considered negligence, it must follow all four elements the defendant had a duty of care, the care was breached, the breach resulted in and connected to the plaintiff's injury, and the plaintiff suffered actual damage or loss (Andrino, 2023). Product liability law governs the responsibility of manufacturers, distributors, and sellers for defective products that cause harm to consumers. Denise can work with Sam to mitigate liabilities with consumer protection. Under Consumer Protection of Product Safety Laws Protecting Consumers, it implies that Denise can utilize Products Liability, the Consumer Product Safety Act (CPSA), and recalls preventing liabilities of the

products (Justia, 2023). These would allow Denise to embed these laws into the handbook to define the procedures and rights of the employee and security measures for the products. This would also greatly benefit Sam's scenario if both Denise and Sam team up. As previously mentioned, Occupational Safety and Health (OSH), can help prevent liability regarding workplace safety and employee welfare Sam can break this down for Denise more if she would like to implement it into the handbook (U.S. Department of Labor, 2004). Implementing both of these into the handbook will greatly benefit Clean to mitigate possible liabilities and protect employees. To mitigate these liabilities regarding incurring injuries during the job and negligence, Clean must develop comprehensive guidelines for reporting injuries, Train employees and contractors on safety protocols, and obtain appropriate insurance coverage. To mitigate liabilities relating to consumer protection, Clean must implement security measures by consulting legal experts to ensure accurate and up-to-date information and clearly outline reporting procedures and employee rights. Therefore, implementing the types of contracts, details of the employer-employee relationship, workers' compensation law, guidelines, and consumer protection laws into the handbook would help Clean prevent these liabilities.

C. Larisa

1. Identify the component that is central to each of the four scenarios and explain the relevant area of the law.

Larisa is responsible for executive talent acquisition in which the task involves creating valid and enforceable employment agreements for Clean's executives. This means that the human resources department is managed by Larisa. The relevant laws that Larisia can implement to help Clean are Contract Law or Employment Contract Law and Agency Law (Principal-Agent Relationship). A contract law would provide validity, enforceability, and essential terms of employment agreements (Saylor Foundation, 2012, Chapter 8). It would also consider the duration, duties, compensation, and termination provisions. It would also allow employment agreements to meet certain criteria to be valid and enforceable. Meanwhile, an agency law would allow Clean to comprehend the authority and duties of executives within Clean, while ensuring that employment agreements reflect Clean's expectations (Saylor Foundation, 2012, Chapters 20 and 21). An employment law would cover hiring, termination, wages, benefits, discrimination, and workplace safety (Saylor Foundation, 2012, Chapter 8). Larisa should implement these into creating the proper duties for the employees and the terms of each. She should make sure that all agreements must be completed as agreed upon and that the parties are compliant with the laws. These are all the laws that are relevant for Larisa. Therefore, Larisa should implement contract law and agency laws to help enforce the agreements and ensure that each fulfills the duties of the principal-agent or employer-employee relationships to prevent possible liabilities and mistakes.

2. As a general matter, explain why understanding the area of the law helps Clean.

Larisa and Clean must comprehend these laws to ensure that each task is assigned to the relationships of either principal-agent or employer-employee. The agreement must follow the standards and both parties are responsible for their roles and duties once it is enforced and validated. Comprehending these laws mentioned previously allows business operations to go smoothly as the roles and tasks are clearly defined. Comprehending the contract would provide a valid and clear employment agreement to protect Clean's interests (Saylor Foundation, 2012, Chapter 8). Compliance with agency principles or agency law ensures effective executive management for Clean's business (Saylor Foundation, 2012, Chapters 20 and 21). Larisa must implement the requirements for a valid employment agreement. The requirements entail that both parties are willingly enter into the contract without coercion or misrepresentation, the contract must offer benefit or consideration to both parties, and it must specify job duties, compensation, and other terms in writing or an outline. Comprehending employment laws and complying with the criteria will prevent legal disputes, discrimination claims, and labor violations, and protect employees' rights. Therefore, Clean must comprehend the concepts of contract law, employee contract, and agency law to ensure proper agreement of both parties to fulfill the promises and prevent possible liabilities or breaches.

3. Identify Clean's rights and liabilities in the area of the law and make specific recommendations of how Clean can minimize its liabilities.

Clean has the right to define executives' duties, compensation, and contractual terms. Larisa can enforce fair employment practices and create a positive work

environment. Some of the liabilities that Clean may face regarding the contract and agency law would be disputes and non-enforced measures. For instance, if agreements lack essential terms or violate legal requirements, Clean may face disputes or unenforceability. Failure to clarify authority through the principal-agent relationship could lead to misunderstandings. Clean and Larisa may also face liability if the company is in non-compliance with the employment law which can lead to lawsuits and reputational damage. The contracts must be valid through the UCC. The Uniform Commercial Code (UCC) for the Statue of Frauds governs sales of goods and requires certain contracts to be in writing to be enforceable (Cornell Law, n.d.). As mentioned previously, to handle contract law issues for valid agreement, the UCC for the Statue of Frauds governs sales of goods and requires certain contracts to be in writing to be enforceable (Cornell Law, n.d.). As previously mentioned, the Statute of Fraud applies to contracts for sold goods priced at 500 dollars or more and must have written documents to prove that both parties have an agreement while meeting the requirements (Saylor Foundation, 2012, Chapter 13). Moreover, it applies to other contracts like interest in real estate, long-term contracts (performance over 12 months), and Surety which covers debt obligations of another (Andrino, 2023, Week 5). The Sufficiency of an agreement Contract (either electronic or written) is crucial to understanding contracts meeting the requirements and both the buyer and seller are aware of the agreement (O’Connell, n.d.). The contract between two parties satisfies the "writing" requirements for the Statute of Frauds as the UCC recognizes electronic contracts and signatures as valid and enforceable in the Electronic Signatures in Global and

National Commerce Act (ESIGN), which provides legal recognition to electronic contracts (O'Connell, n.d.). Both parties are aware of the binding agreement and by accepting the offer, demonstrate proof that a contract was created electronically (Saylor Foundation, 2012, Chapter 13). Larisa can also implement the employer-employee contract to validate each task and role for the business. The task must be clarified through promises and obligations so that quality assurance with the client is implemented (Saylor Foundation, 2012, Chapter 8). If Cleans provides an employer-employee term to ensure proper tasks, it helps establish a baseline for performance expectations and prevent client misunderstandings. Additionally, Clean can clearly define and describe the scope of work to the clients to ensure that the services offered are clear in each task and meet the client's expectations. These could range from promising to complete the task in a certain amount of time, cleaning products are working, and ensuring that there is no harm done to either surfaces or individuals. A clear scope of what services and work are provided minimizes disputes or liabilities from the client and ensures client satisfaction. In addition, a bonding relationship is a mix of a consideration where Clean would prioritize security and the Client would offer trust back (Saylor Foundation, 2012, Chapter 8). The bonding reassures the client that their property is protected during the cleaning services. To mitigate the risks, Clean should ensure well-bonded terms with the client which minimizes the financial risk and demonstrates professionalism. Bonding helps build client trust and lowers potential risks associated with unprofessional employees. Implementing these into the contract ensures Clean's commitment to security and client protection. Moreover, an

agency is a relationship between two parties in a legal contract, where the agent acts on behalf of and under the control of a principal (Müller-Freienfels, 2024). For instance, employees are agents, and the boss is the principal. For this scenario, Larisa can implement the agency law using the principal-agent relationship to clarify the duties and rights without misunderstanding. In this case, Clean is the principal as Clean is a business company that needs agents (Saylor Foundation, 2012, Chapter 20). An agent is a party in an agency relationship with the principal, who controls the agent (Sherman, 2018). Principals are bound and liable for the actions of the agents hired (Müller-Freienfels, 2024). The principal has the authority to make certain decisions or actions for the agent (Sherman, 2018). When an employee's boss provides a person with a task, the employee must complete what is required. Additionally, a principal must honor a contract with the agent, deal fairly with a task to an agent, and control the agent depending on the contract (Sherman, 2018). The principal Clean must also define the responsibilities and possible authority the employees may have as the agent through writing or implication. Larisa includes the contact policies which allow Clean to hire individuals as an agent to find other future employees for Clean's business and accomplish the task diligently. As the principal, Clean has the right to the performance, information, and loyalty that the agent must accomplish for Clean in return for a principal-agent relationship (Saylor Foundation, 2012, Chapter 20). Clean has the right to inform the agent's duties and monitor progress in the actions taken to employ future employees on Clean's behalf. Larisa can include that the agent should

keep Clean updated on the duties and any relevant developments. Good communication ensures transparency, alignment, accountability, and information regarding the tasks the agent must complete. The general duties of an agent that must be completed include the duty of skill and care (Saylor Foundation, Chapters 20 and 21). Failure to do so to complete the tasks would violate the duties of the principal. As the principal, Clean has the right to limit any agents from following self-interest matters directly related to the agency agreement between the parties (Sherman, 2018). The agents owe Clean a duty of loyalty and must act solely in Clean's best interests while avoiding any conflicts of interest. Despite the authority, Clean may have over the agents, Clean could face liabilities when an agent is liable for contracts such as express, implied, and apparent authority (Saylor Foundation, 2012, Chapter 21). An agent within one of these authorities who has been liable would make Clean's contract liable based on the agent's actions and possibly illegal activities (including cyber, tampering with digital data, etc) (Saylor Foundation, 2012, Chapter 21). Clean can minimize this liability by closely monitoring the agents and employees through the different types of contracts (independent, employee, or agent type). Larisa can team up with Denise regarding these types of contracts so that Clean can get a better overview of how different types of contracts can change the way Clean has control. With control, Clean can prevent possible liabilities that an employee or agent does based on the actions (illegal activities). In addition, Clean can also minimize these liabilities regarding contracts and agency by consulting legal counsel to draft comprehensive employment agreements, specify

duties, performance metrics, confidentiality, clauses of non-compete, and address termination conditions and severance provisions. Larisa should clearly outline executives' duties, authority, and performance expectations. Larisa and Clean should also ensure clarity on roles, responsibilities, and performance metrics. To minimize the liabilities if Clean is not compliant with employment laws, Clean must regularly train staff on employment laws, document HR policies and procedures, and consult legal counsel for complex issues. If there are any breaches of the agency contract, such as if any of the agents violate the agent's obligations or act negligently, Clean has the right to end the contract and compensation for the loss (Saylor Foundation, 2012, Chapter 21). For instance, if the agent's actions or incorrect hiring led to losses, harm, or failure to comply and complete the tasks, Clean can end the agency contract and compensation. In addition, if the agent's actions deviate from Clean's interests, Clean can rectify the situation by superseding authority over the agent to end the contract and compensation. Clean can also terminate the contract by operation laws for scenarios like bankruptcy, death, or stock crash affecting the company (Müller-Freienfels, 2024). This protects Clean's interests, and breaches, and ensures that all agents fulfill their duties diligently. Clean has the right to performance, accountability, information, seeking full indemnity, superseding authority, and loyalty for Clean as an agent. Larisa should implement these changes to help Clean ensure no breaches or liabilities are made with agreements, duties, and roles. Therefore, it is essential that Clean comprehend these concepts and rights regarding the contract and agency laws so that Larisa can better implement them to ensure proper agreements

between two parties, the principal-agent relationship, and the employer-employee relationship to prevent these liabilities.

D. Sam

1. Identify the component that is central to each of the four scenarios and explain the relevant area of the law.

Sam ensures that all PPE and cleaning solutions meet the Centers for Disease Control's guidelines. Sam's role involves ensuring compliance with CDC guidelines for PPE and cleaning solutions. Sam also monitors the laws in the states where Clean's PPE and cleaning solutions are sold ensuring that the states are not planning to ban any of the cleaning solution's ingredients. This means that the government compliance, product development, and supply chain are managed by Sam. These laws relevant to Sam's position are Regulatory Compliance, Product Liability law (including implied warranty), Consumer protection law, contract law, Occupational Safety and Health Act (OSH Act), and product compliance regulations regulatory compliance allows Clean to comprehend federal and state regulations related to PPE and cleaning products. It would allow Clean to monitor the changes in guidelines to ensure that Clean's products meet the standards. Meanwhile, the product liability and consumer protection law would help Clean comprehend Clean's liability for selling unsafe or non-compliant products and the state-specific bans on certain ingredients. Product liability describes a type of claim—for injury caused by a defective product—and it is separated into three types: warranty, negligence, and strict

liability (Saylor Foundation, 2012, Chapter 17). The two last types are tort theories while the first one is a contract. For product liability through negligence, the plaintiff must prove fault. To be considered negligence, it must follow all four elements the defendant had a duty of care, the care was breached, the breach resulted in and connected to the plaintiff's injury, and the plaintiff suffered actual damage or loss (Andrino, 2023, Week 3). Product liability law governs the responsibility of manufacturers, distributors, and sellers for defective products that cause harm to consumers. These laws ensure that products meet safety standards and are free from defects. In addition, if Clean implements contract laws this would govern agreements between parties, including purchase orders, supplier contracts, and distribution agreements. Moreover, if Clean implements the Occupational Safety and Health Act (OSH Act) and Product compliance regulations, it would ensure workplace safety and the regulations may vary by state and industry (U.S. Department of Labor, 2004). These laws stated previously will allow Sam to ensure that the PPE and cleaning solutions meet the criteria and guidelines, including the condition that the states will not ban the product's ingredients. Therefore, Sam wants to ensure that the cleaning solution meets the guidelines and that the state will not ban the cleaning solution which the laws of product liability, compliance, consumer protection, contract law, and Occupational Safety and Health Act (OSH Act) can help prevent Clean from possible liabilities.

2. As a general matter, explain why understanding the area of the law helps Clean.

Clean must comprehend these laws to ensure that the products sold are not banned and can ensure better protection from liabilities. Product liability including implied warranty will provide Clean criteria on how to set guidelines to ensure that the product is not defective and will satisfy the customer when sold (Andrino, 2023, Week 3). It will also help Sam provide the actions to ensure that the product will not breach warranties and allow Clean to be liable for the defective products. Sam will help Clean prevent the liabilities by comprehending these laws. Clean must comply with regulatory compliance, product liability, and consumer protection laws, as it will, avoid penalties, recalls, and reputational damage. Clean must comprehend that compliance will prevent liability issues. This would also allow Legal awareness to ensure that Clean's products are safe and legally marketable. It is important that Clean also comprehends the contract law to ensure clear terms for everyone, timely deliveries, find solutions for disputes, and protect the business from breaches and unexpected costs (Saylor Foundation, 2012, Chapter 8). Moreover, understanding the compliance and product regulations for workplace safety would Ensure that the PPE meets CDC guidelines, and monitoring the state laws regarding the cleaning solution ingredients can prevent the product from becoming banned. Sam could team up with any of Connor, Denise, or Larisa to find more information about other similar laws or to help out with their positions. Sam's role overlaps with most of the other member's issues and goals so Sam must clarify these to Clean for the other members. These laws would allow Sam to help implement changes to the procedures to check the

product and if Clean comprehends these laws, it will help mitigate possible liabilities from the defective products.

3. Identify Clean's rights and liabilities in the area of the law and make specific recommendations of how Clean can minimize its liabilities.

Clean has the right to sell compliant products and stay informed about regulatory changes to prevent the product from being banned. Clean or Sam also has the right to negotiate favorable terms and enforce contracts. Some liabilities that Clean may face are non-compliance products and states that may band the product if the process is not done correctly which could lead to financial loss. Another is if Clean breaches the contract law, it can lead to financial losses that may damage the reputation of the business. To mitigate these liabilities relating to regulatory compliance, product liability, and consumer protection, Clean must implement measures to comply with the law, take measures, and record data of unsafe products before being sold, and the laws would protect from damaging the business. To mitigate these liabilities relating to contract laws Clean must draft clear, detailed contracts, monitor supplier performance, and find legal advice for complex agreements to prevent any disputes. An implied warranty of merchantability is when the seller of goods meets the standards and is suitable to be sold. (§ 2-314 (1), (2)(a)-(f), (3) UCC). This is important because it correlates to Clean utilizing the EPI products and if any of the products are defective and cause ineffective cleaning, harm, damages, and no warning labels, Clean may be sued for breaching this warranty. If the product does not meet the standards including a warning label for the possible risks, the product breaches the warranty too. A breach of the implied warranty of merchantability is when goods are

defective, cause harm, damage, and improper warning labels. Clean could be sued if the EPI cleaning products damage the commercial property due to the defective products. For instance, if the cleaning product was only for a specific type of material, then utilizing the cleaning products for other ones may cause damage. And without a warning label of the harm it may do, this beaches the warranty. Clean's EPI cleaning products must meet the standards of, "pass without objection, are at least fair average quality goods, within the permitted agreements, and conform to the affirmations made on the container." (§ 2-314 (1), (2)(a)-(f), (3) UCC). To mitigate this breach or liability, Clean should ensure EPI products have warnings about potential risks displayed on the packaging. Clean should also cross-train employees about the safe handling, storage, and usage of EPI products. In addition, Clean should implement quality control to detect and prevent any defective product from going into sale and document all records of the testing and safety measures through the standards. Not only should Clean do all of these mitigation strategies, but Clean should also implement better accountability and product knowledge to lower the liability against Clean. Clean can do this by placing labels with the risks associated with the EPI products to customers. All of these steps will allow Clean to have reduced liability if the customers are aware of the hazards, and risks associated with this product, and the procedures to prevent product liabilities and breaching contract laws. Additionally, Clean should also include accurate product labels of information such as risks and a traceable supply chain to demonstrate safety standards. If Clean wants to avoid future defective products, Clean should conduct research before reselling them and have the product evaluated before selling it. Moreover, Sam could collaborate with Larisa in

embedding a good contract law to prevent disputes from possible complaints. Going over to Larisa's section ensure that the agreement is valid and that Sam can also inspect and evaluate the product if the buyer deems that the product is nonconforming to the standards. It is also to make sure that Sam can collaborate with Connor to make sure that the product can also be evaluated if the buyer rejects a nonconforming product. Sam could prevent this by implementing quality control procedures where employees regularly check products for defects in the ingredients and final products to ensure they meet the standards. In other words, performance evaluations, dispute, and claims sections are crucial for maintaining service quality and confronting client complaints. With Larisa's contract law, Sam can also cross-train employees to detect defects and the importance of quality control. When Sam implements these changes through the contract law that entails the duties and roles of an employer-employee relationship, it ensures maintaining product quality. By implementing this into the contract and terms, Clean should achieve proper evaluations to provide constructive feedback to the cleaning services and prevent breaching warranties. A covenant not to sue promises to forebear suing in return for a dispute settlement (Saylor Foundation, 2012, Chapter 11). This is crucial as Clean should confirm that the contract protects the business while making peace with clients. Clean can prepare when encountering these scenarios by mentioning a pre-agreement between parties resolved through arbitration specifies the rules and jurisdiction (Saylor Foundation, 2012, Chapter 8). If Sam conducts periodic performance evaluations and product checks, it will prevent any of the liabilities against Clean. In addition, to mitigate liabilities of non-compliance with product regulations, Clean must stay informed about changing

regulations, and collaborate with legal and compliance experts to monitor the state laws and the CDC guidelines to prevent the product from being banned. Under the OSH Act of 1970 section 5 of Duties, implies that each employer shall furnish to each of his employees' employment that is free from recognized hazards likely to cause death or serious physical harm to his employees, comply with the standards, rules, regulations, and orders (U.S. Department of Labor, 2004). Sam can implement this act to ensure that all products comply with relevant regulations and standards. This would allow a safe working environment free from recognized hazards to continue monitoring and inspecting the product to ensure that there are no defects that may cause potential liabilities. Sam can allow regular audits and inspections to address potential issues before products reach the market, which helps maintain high standards and prevents defective products from being sold around. If this fails, then Sam would have to utilize the recall which would not be cost-effective for Clean and would hurt it financially. In this case, Sam can mitigate liabilities with consumer protection. Under Consumer Protection of Product Safety Laws Protecting Consumers, it implies that Sam can utilize product liability, the Consumer Product Safety Act (CPSA), and recalls to prevent liabilities of the products (Justia, 2023). These would allow Sam to prevent any chances that the product will be banned if Sam and Clean comprehend these laws. If a product has been distributed, Sam can recall the product ahead of time if there is no liability claim to prevent future liabilities if Sam does not recall the defective product. This is not efficient in the long run, but it is effective if the defective product happens to be already distributed before Clean could have prevented it from being distributed. This scenario is prevalent in the

modern day, where if there is any defective ingredient found, a recall is declared to the public. Sam could have a recall, but it should be utilized for emergencies so that it would not hurt the business financially. Based on all of these laws and scenarios mentioned, Clean should ensure that it complies with product liability, compliance, consumer protection, contract law, and the OSH Act. Clean must also be with Sam's goals to monitor and be updated on any changes to these laws. Therefore, these are the recommendations for Clean to reduce its liabilities under these laws, but Clean should consult with the other members of other overlapping laws that may lower the liability against Clean as well.

Conclusion:

Addressing and comprehending the laws for Clean's risks and liabilities is essential for minimizing possible liabilities from the company, comprehending the contractual rights and tort laws, and the risks. Connor suggests that Contract Law or Sales and Product Liability Law will help Clean prevent possible liabilities regarding the selling of EPI products. Denise suggests that workers' compensation law, tort law such as negligence, and consumer protection law would help implement a handbook to prevent liability and protect employees. Larisa suggests that Contract Law or Employment Contract Law and Agency Law (Principal-Agent Relationship) would provide validity, enforceability, relationships (employer-employee and principal-agent), and essential terms of employment agreements (Saylor Foundation, 2012, Chapter 8). Sam suggests that compliance, product liability (including implied warranty), consumer protection,

contract law, and the Occupational Safety and Health Act (OSH Act) ensure that all PPE and cleaning solutions meet the Centers for Disease Control's guidelines and are not banned. Understanding these legal considerations is crucial for the company's success and risk management. Legal compliance helps create a solid foundation for Viral Clean's growth. Moreover, consulting legal professionals, teaming up with other members, and staying informed will help minimize risks and maximize opportunities. If Clean would like to implement better measures for the company an LLC would be the best business structure for Clean (Bizee, n.d.). Therefore, clean should minimize any possible liabilities through the members' suggestions and actions taken to continue growing the business.

References

Andrino, R. (2023). *Business Law I (Week 3) [PowerPoint slides]*. University of Maryland Global Campus. https://leocontent.umgc.edu/content/dam/course-content/tus/bmgt/bmgt-380/document/Business%20Law%20I%20%28Week%203%29%20%281%29.pdf?ou=1027509 (Retrieved August 1, 2024)

Andrino, R. (2023). *Business Law I (Week 5) [PowerPoint slides]*. University of Maryland Global Campus, https://leocontent.umgc.edu/content/dam/course-content/tus/bmgt/bmgt-380/document/Business%20Law%20I%20%28Week%205%29.pdf?ou=1027509 (Retrieved August 1, 2024)

Bizee. (n.d.). *Everything You Need to Know About LLCs*. Incfile, https://bizee.com/limited-liability-company?redirect=fromIncfile (Retrieved August 1, 2024)

Cornell Law. (n.d). *Wex: Statute of Frauds*. (Legal Information Institute, Cornell Law) https://www.law.cornell.edu/wex/statute_of_frauds (Retrieved August 1, 2024)

Justia. (2023). *Consumer protection law*. Consumer Protection Law Center. https://www.justia.com/consumer/consumer-protection-law/ (Retrieved August 1, 2024)

Müller-Freienfels, W. (2024, March 8). *Agency Law*. Encyclopedia Britannica, https://www.britannica.com/topic/agency-law (Retrieved August 1, 2024)

O'Connell, A. (n.d.). *Legal Guide to Electronic Contracts and Electronic Signatures*. NOLO, https://www.nolo.com/legal-encyclopedia/electronic-signatures-online-contracts-29495.html (Retrieved August 1, 2024)

Sherman, F. (2018). *The Definition of Principal Vs. Agent*. Chron, https://work.chron.com/definition-principal-vs-agent-14381.html (Retrieved August 1, 2024)

Saylor Foundation. (2012). *Advanced Business Law and the Legal Environment: Chapter 8*. Saylor Foundation, https://saylordotorg.github.io/text_business-law-and-the-legal-environment-v1.0-a/s11-introduction-to-contract-law.html (Retrieved August 1, 2024)

Saylor Foundation. (2012). *Advanced Business Law and the Legal Environment: Chapter 9*. Saylor Foundation, https://saylordotorg.github.io/text_advanced-business-law-and-the-legal-environment/s12-title-and-risk-of-loss.html (Retrieved August 1, 2024)

Saylor Foundation. (2012). *Advanced Business Law and the Legal Environment: Chapter 10*. Saylor Foundation, https://saylordotorg.github.io/text_advanced-business-law-and-the-legal-environment/s13-performance-and-remedies.html (Retrieved August 1, 2024)

Saylor Foundation. (2012). *Advanced Business Law and the Legal Environment: Chapter 11*. Saylor Foundation, https://saylordotorg.github.io/text_business-law-and-the-legal-environment-v1.0-a/s14-consideration.html (Retrieved August 1, 2024)

Saylor Foundation. (2012). *Advanced Business Law and the Legal Environment: Chapter 13*. Saylor Foundation, https://saylordotorg.github.io/text_law-for-entrepreneurs/s16-form-and-meaning.html (Retrieved August 1, 2024)

Saylor Foundation. (2012). *Advanced Business Law and the Legal Environment: Chapter 17*. Saylor Foundation, https://saylordotorg.github.io/text_law-for-entrepreneurs/s20-products-liability (Retrieved August 1, 2024)

Saylor Foundation. (2012). *Law for Entrepreneurs: Chapter 20*. Saylor Foundation, https://saylordotorg.github.io/text_law-for-entrepreneurs/s23-relationships-between-principa.html (Retrieved August 1, 2024)

Saylor Foundation. (2012). *Law for Entrepreneurs: Chapter 21*. Saylor Foundation,

https://saylordotorg.github.io/text_law-for-entrepreneurs/s24-liability-of-principal-and-age.html (Retrieved August 1, 2024)

Uniform Law Commission. (n.d.). *Uniform Commercial Code*. Uniform Law Commission, https://www.uniformlaws.org/acts/ucc (Retrieved August 1, 2024)

U.S. Department of Labor. (2004). *Occupational Safety and Health Act of 1970 (Public Law 91-596, 84 STAT. 1590, 91st Congress, S.2193, December 29, 1970, as amended through January 1, 2004)*. Occupational Safety and Health Administration, https://www.osha.gov/laws-regs/oshact/completeoshact (Retrieved August 1, 2024)

§ 2-201 (1)-(3)(a)-(c) *UCC: Formal Requirements; Statute of Frauds*. (Legal Information Institute, Cornell Law) https://www.law.cornell.edu/ucc/2/2-201 (Retrieved July 17, 2024)

§ 2-301 *UCC: General Obligations of Parties*. (Legal Information Institute, Cornell Law) https://www.law.cornell.edu/ucc/2/2-301 (Retrieved August 1, 2024)

§ 2-314 (1), (2)(a)-(f), (3) UCC: Implied Warranty: Merchantability; Usage of Trade. (Legal Information Institute, Cornell Law) https://www.law.cornell.edu/ucc/2/2-314 (Retrieved August 1, 2024)

§ 2-504 (a)-(c) *UCC: Shipment by Seller*. (Legal Information Institute, Cornell Law) https://www.law.cornell.edu/ucc/2/2-504 (Retrieved August 1, 2024)

§ 2-508 (1), (2) *UCC: Cure by Seller of Improper Tender or Delivery; Replacement*. (Legal Information Institute, Cornell Law) https://www.law.cornell.edu/ucc/2/2-508 (Retrieved August 1, 2024)

§ 2-601 (a)-(c) *UCC: Buyer's Rights on Improper Delivery*. (Legal Information Institute, Cornell Law) https://www.law.cornell.edu/ucc/2/2-601 (Retrieved August 1, 2024)